

The Gensol-BluSmart Fraud (2025)

1. Company Background

Gensol Engineering Limited is an Ahmedabad-based company listed on the NSE SME platform in September 2019 through a small IPO of around Rs 18 crore. It initially was involved in solar engineering, where it was building solar plants for its clients, and later got involved in leasing out EVs. It was operated by the Jaggi brothers - Anmol Singh Jaggi (MD) and Puneet Singh Jaggi (whole-time director) - who together held about 96% of the firm at the time of the IPO. The duo also co-founded Blu Smart Mobility - an all-electric ride-hailing firm that operated more than 8,000 electric cabs across Delhi-NCR and Bengaluru and raised \$25 million from Swiss impact fund responsAbility in January 2024.

The two firms were very tightly connected. Gensol took out a loan to purchase EVs and leased them to Blu Smart - which meant Gensol's largest customer was the business owned by its own promoters. On the stock market, Gensol appeared to be an incubator for a clean energy new India: it surged by around 2,600% from early 2022 and was valued at around 4,100 crore.

So the story broke in 2025. A SEBI complaint in June 2024 had accused him of share price manipulation and fund diversion, while in early 2025, rating agencies CARE and ICRA downgraded Gensol because of their late payments to creditors. On 15 April 2025, SEBI ordered an interlocutory injunction banning the brothers from participating in the securities market or acting as directors after they systematically used the listed company as a piggy bank. Blu Smart stopped accepting bookings, leaving more than 10,000 drivers out of work. Gensol's shares plunged by almost 90 per cent, and the company was made insolvent in June 2025.

1.1 Timeline at a Glance

When	What happened
Sep 2019	Gensol lists on the NSE SME platform with an ₹18 crore IPO; the promoters hold about 96%.
Jul 2023	Promoter holding is down to about 70.72%.
Jan 2024	BluSmart raises \$25 million from responsAbility.
Jun 2024	A whistleblower complaint reaches SEBI, alleging share price manipulation and fund diversion.
Early 2025	CARE and ICRA downgrade Gensol over delays in paying its debts.
15 Apr 2025	SEBI issues its interim order; BluSmart stops taking bookings soon after.
24 Apr 2025	ED searches Gensol's offices under FEMA and detains Puneet Jaggi.
May 2025	Government orders an inspection under Section 210 of the Companies Act; NCLT freezes assets; the brothers resign from the Gensol board.
13 Jun 2025	NCLT Ahmedabad admits Gensol to insolvency on IREDA's petition.
Jul 2025	BluSmart Mobility is admitted to insolvency; on 30 July SEBI confirms its order.
Oct 2025	BluSmart Mobility Tech is admitted to insolvency; Puneet Jaggi faces personal insolvency as a guarantor.
Mar 2026	Eversource Capital is reported to be buying BluSmart's EV charging business.

The Gensol-BluSmart Fraud (2025)

1.2 Key Numbers

Item	Figure	Note
Loans from IREDA and PFC	₹977.75 crore	As stated in the SEBI order
Money meant to buy 6,400 EVs	About ₹664 crore	To be leased to BluSmart
EVs actually delivered	4,704	Reported from the SEBI findings
EVs missing	About 1,700 (26%)	My arithmetic: 6,400 minus 4,704
Money alleged to be diverted	About ₹262 crore (39%)	My arithmetic: 262 out of 664
Luxury apartment, Gurugram	₹42.94 crore	Alleged use of loan money
Personal spending	About ₹26 crore	Includes a ₹26 lakh golf set
Default in IREDA's insolvency petition	About ₹510 crore	Led to Gensol's insolvency
Fall in market value	₹4,131 crore to ₹309 crore	About 92%, peak to April 2025

2. How the Fraud Happened

Gensol didn't involve some clever technical con. It was just a small window of discrepancy between the loan documents and the money. A government-supported loan of electric cars was a safe bet on paper. But the real issue was whether the cars were bought, and where the other money went. Everything below is what SEBI, the lenders, and the investigators have alleged or uncovered; some of it is still being tested.

2.1 The EV Loan Story

Gensol borrowed around 977.75 crore in terms from two state-owned lenders - Indian Renewable Energy Development Agency (IREDA) and the Power Finance Corporation (PFC). Over 664 crore of the funds was used to purchase 6,400 EVs which Gensol was planning to lease to Blu Smart, a part of the borrowed fund was used to 6,400 EVs for leasing to Blu Smart.

2.2 Ghost Cars and Diverted Money

SEBI calculated that only 4,704 of the 6,400 EVs were actually delivered, which means the rest 1,700-odd cars were just in name. The regulator said about Rs 262 crore of the Rs 664 crore was diverted instead of being used to buy vehicles. Some of the money was funnelled through distributor Go-Auto Pvt Ltd of Tata EVs, and further passed on to Capbridge, another Tata EV distributor in which the Go-Auto owners are believed to have a stake; Rs 71.39 crore of the Rs 1,200 crore loan to IREDA was routed in this way. The ED is also investigating whether Go-Auto's owner was involved in diverting loan funds. There are reports of forged invoices and over-invoicing of purchase cost.

The Gensol-BluSmart Fraud (2025)

The order then traced the money to where it eventually went. Nearly 42.94 crore was parked in a high-end flat in The Camellias in The Gurugram through a company owned by a company belonging to the 'Jaggi' family while about 26 crore of the money was diverted for personal use, with a 26 lakh golf-set and small stake in an unrelated start-up. The regulator also went to Gensol's Pune-based office which was to be Gensol's EV centre, and saw just a few employees and no EV activity.

2.3 Forged Letters and a Hyped Share Price

As part of its attempt to placate the rating agencies, Gensol purported to have sent them letterhead signatures of IREDA and PFC confirming that the loan repayments had been made as agreed. SEBI has noted that the letters were forged and has reproduced the signatures in its order. PFC had filed a complaint with the Delhi Police economic offences wing and instituted a forensic investigation to track down the missing delivery challans for the vehicles financed by it. Meanwhile, the share price was rising due to several pro-EV announcements. SEBI claimed it had been misled by disclosures and trades that enabled promoters to reduce their holding from 96% to near zero while retail investors were purchasing at this price. It also blocked a 1:10 stock split that was on the cards for reasons that were not disclosed but perhaps to get more small investors on board. The promoter's own shareholding had fallen to 70.72% in July 2023.

2.4 The Failure of Oversight

In theory, Gensol was checked at each level: a board of independent directors, auditors, two lenders from the government, and rating agencies. All failed to prevent the growth and then descent. The first indication that something was wrong was in June 2024, a whistleblower complaint to the Securities and Exchange Board of India (SEBI), nearly ten months before the interim order; the rating downgrades followed only in early 2025, after payments were already missed. An independent director Arun Menon resigned in April 2025, and SEBI's order described Gensol's internal controls as having collapsed.

It was only when the money had disappeared and the cars gone that the picture emerged. Blu Smart had called in Grant Thornton for a forensic audit in the wake of SEBI intervening, and SEBI directed a forensic audit of Gensol and the companies linked to it, such as Blu Smart. By then the lenders had lost money and thousands of drivers had lost their livelihood.

2.5 Why It Happened: The Fraud Triangle

A standard way to explain any fraud is the **fraud triangle**: a person commits fraud when there is **pressure**, an **opportunity**, and a way to **justify** it to themselves. It is an easy tool to explain in class. The points below are my reading of the public facts, not findings by a court, and the brothers' side has not yet been tested.

- **Pressure:** BluSmart was spending more cash than it earned, and it depended on cars leased from Gensol. Gensol in turn needed more loans, good credit ratings and a rising share price to keep the whole structure running. When payments started to slip in early 2025, the pressure to hide the gap was at its highest.
- **Opportunity:** The two brothers controlled both companies, and held about 96% of Gensol at the IPO. The lease business was between related companies, so no outside

The Gensol-BluSmart Fraud (2025)

buyer was checking prices or delivery. The lenders and rating agencies accepted letters sent by the borrower, and the money went to the company, not directly to the car seller.

- **Rationalisation:** The orders do not tell us what the brothers thought. In many founder-run companies the usual excuse is that the money is "temporary" or "ours anyway". Here I treat it only as a possibility, since a listed company's money belongs to its lenders and shareholders too.

2.6 Red Flags That Were Visible Early

Looking back, there were several signs before the collapse. No single one proves fraud, but together they should have triggered a closer look.

Red flag	What was visible	Simple test that catches it
Promoter selling	Holding fell from 96% to about 70.72% by July 2023, and later to a very small share	Track promoter holding and pledges every quarter
Unusual share price run	Roughly 2,600% rise in about two years for a small company	Price and volume surveillance
Customer is a related party	Gensol's main customer was BluSmart, owned by the same brothers	Share of revenue from related parties
Corporate actions to attract retail	A 1:10 stock split announced during the rally	Review of announcements near price spikes
Rating downgrades and late payments	CARE and ICRA downgrades in early 2025	Monitor debt service and payment delays
Cars missing	Only 4,704 of 6,400 EVs delivered; PFC could not trace delivery receipts	Match financed cars to registration records
Weak plant activity	Pune unit reportedly had only a few workers and no EV production	Site visit and capacity check
Independent director quits	Arun Menon resigned in April 2025 over debt and opaque governance	Treat resignation as an automatic alert

3. Who Was Affected

Fraud is often described in crores, but the damage reached many different groups. Each group lost something different.

- **Lenders and public money:** IREDA and PFC are government-owned, so the loss falls on the public sector and, indirectly, on taxpayers. IREDA's insolvency petition alone was for a default of about ₹510 crore.
- **Small investors:** Retail shareholders bought a stock that had run up sharply on EV hopes. The market value dropped from about ₹4,131 crore to ₹309 crore, and the shares hit the lower circuit for sixteen sessions in a row, so many could not even sell.
- **Drivers:** More than 10,000 drivers lost their income when BluSmart stopped taking rides, and some went on strike in Delhi. Many moved to rival platforms.

The Gensol-BluSmart Fraud (2025)

- **Customers:** Riders who had money in their BluSmart wallets were still waiting for refunds long after the company promised them.
- **The EV sector:** Over 4,000 cars sat idle or were put up for sale. In my view, the case also hurt trust in green finance, because a loan with a clean-energy label can now be questioned more.

4. Did Gensol-BluSmart Recover?

Both companies have yet to emerge as functioning businesses. Gensol is bankrupt, Blu Smart ceased taking rides in April 2025 and has not been reinstated. Legal, financial and regulatory, recovery is incomplete and in progress. The following points are based on public reporting available at the time of writing.

- **Legal recovery:** On 24 April 2025 the ED conducted raids on Gensol's office in Delhi, Gurugram and Ahmedabad (a follow up to their 2023 raid on rival company Blu Smart) under the foreign exchange law (FEMA) and held Puneet Jaggi in detention at a Delhi hotel, Anmol Jaggi was said to be in Dubai, and the ED requested a look-out circulars for both the brothers. In May 2025 the Ministry of Corporate Affairs ordered a raid on Gensol and the electric vehicle aggregator Blu Smart under the Companies Act 2013 Section 210, and the National Financial Reporting Authority also joined the investigation. I found no accounts of a conviction, so that's all still in the inquiry and court state.
- **Financial recovery:** The Ahmedabad NCLT issued a freezing order over the bank accounts, lockers and assets of Gensol and 37 more firms, on order of the government, and the appeals court declined to lift the freeze. On 13 June 2025 Gensol was laid to rest in insolvency (by petition of IREDA, over a 510 crore default), and Gensol EV Lease followed that day. Blu Smart Mobility was admitted to insolvency in July 2025 (over 1.28 crore in bonds default), followed by Blue Smart Mobility Tech in October 2025. Puneet Jaggi was personally declared insolvent as a result of his being a guarantor for about 9.91 crore. Over 4,000 leased EVs were stranded or idling and lenders were gearing up to sell some, and the EV charging business of Blu Smart was reported to be acquired by Eversource Capital in March 2026. Customers' wallet refunds, and drivers' dues, remained unpaid and I did not see any resolution plan approved, in which the agreed final payoff to the lenders is disclosed.
- **Regulatory recovery:** On 30 July 2025 SEBI reaffirmed its quoWarranto interim order, stating the promoters had failed to address the evidence of fund diversion and forged letters, and that an investigation and forensic audit were still underway. The stock slumped below its 20-day moving average for 16 days in a row in the aftermath of the ban, and the promoters quit the company's board in May 2025. The case has become one of the most cited examples for tightening end-use controls on green-project loans.

5. If I Had Been Present: My Approach

Viewing it as a data analytics student I would apply three stages: prevention, identification, escalation. A car loan is a very clear data trail, because every car has a chassis number, a registration, an invoice and a payment. Most of the tests that could have exposed Gensol are

The Gensol-BluSmart Fraud (2025)

trivial. What's missing is applying them to the relevant records and presenting the results to an independent observer.

5.1 Prevention: Pay the Car Seller, Not the Borrower

The second problem was that the loan money went to the side of the borrower before the car. I would transfer the money to the vehicle seller by an escrow account, only release it against a chassis number and invoice and proof of registration, and keep a vehicle-wise list of all the cars financed by the lender, with attached insurance and registration documents. All those related to the promoters, such as their relatives, their companies and other regular vendors, would be added to the related-party list, and a payment to those names would be blocked or sent for approval. I would also never take a "no dues" or "loan serviced" letter from the borrower, and directly ask the other lender/bank for confirmation.

5.2 Detection: Simple Analytics on Loan and Vehicle Data

I would run these checks on a schedule, not once a year during the audit:

- **Does the asset exist?** Match the list of financed cars against the government vehicle registration database (Vahan), insurance records and GPS or trip data. A car that is on the loan list but has no registration and no trips is a red flag. A count like 4,704 delivered against 6,400 financed would show up in a single comparison.
- **Is the price reasonable?** Compare each invoice with the manufacturer's price list for the same model. Inflated or round-number invoices, repeated amounts, or invoices from a single seller stand out. Benford's Law on invoice amounts is a cheap second test.
- **Where did the money go?** Draw a simple network of companies, directors, addresses and bank accounts. A distributor that pays a related firm, which in turn pays the promoters, would appear as one connected group. I would also trace every payment out of the loan account and flag money that ends up with promoter-linked entities, apartment purchases or personal spending.
- **Do the numbers add up?** Compare the lease rent Gensol collects with the trips and income that BluSmart actually earns on those cars. A related-party customer that cannot pay is a warning sign. Rating agencies could also use bank statements rather than letters to check that loans are really being repaid.
- **Is the share price behaving normally?** A very sharp price rise on a small number of shares, a fall in promoter holding, and a stock split announced during a rally are all patterns that market surveillance tools can flag for review.

5.3 Escalation and Broader Reflection

An alarm is pointless if it is delivered to those responsible. I would forward exceptions to the independent risk committee of the lender and regulator-triggered when they arise, say, due to a car being financed that can't be found, when an independent director leaves or when a payment is missed. A safe channel for whistleblowing matters too-because the warning in June 2024 took ten months to lead to any further steps.

But the fundamental point remains: a green label, or a government guarantee, isn't a substitute for due diligence. A loan can only be as safe as the proof that the cash flowed to the right place.

The Gensol-BluSmart Fraud (2025)

5.4 What These Tests Would Have Shown

To make the approach concrete, here is what each test would have compared and what the public record suggests it would have found.

Test	What it compares	What it would likely have shown
Asset existence	6,400 cars financed against cars registered and tracked	Only 4,704 delivered, a gap of about 1,700 cars
Payment tracing	Where the loan account money went	About ₹262 crore alleged to move to related entities, ₹42.94 crore to an apartment
Lender confirmation	Borrower letters against the lender's own records	Letters allegedly forged, so the difference would be clear on day one
Shareholding trend	Promoter holding over time	A fall from 96% to about 70.72% and then lower
Price and volume	Share price against normal movement	A rise of about 2,600% in a small company
Site visit	Plant capacity against announced plans	Few workers and no EV production at Pune

Results are based on SEBI's findings and press reports and are allegations until proven in court.

6. Lessons Learned

- **Check the asset, not just the paper.** A loan for 6,400 cars is only safe if 6,400 cars can be found.
- **Treat related-party business as higher risk.** When the main customer is owned by the same people, someone independent must check prices and delivery.
- **Confirm directly with the source.** A letter handed over by the borrower is not proof. Ask the lender or bank.
- **Look at warning signs together.** A share price jump, falling promoter holding and late payments may each have an explanation, but all three together do not.
- **Listen to whistleblowers and independent directors.** The complaint in June 2024 and the director's resignation in 2025 both came before the collapse.
- **A green label is not a control.** Government-backed and clean-energy loans need the same end-use checks as any other loan.

7. Conclusion

The Gensol-Blu Smart case is among the largest recent corporate frauds in India, and one of the most obvious stories of loans - which should have been for vehicles - being diverted for something else entirely. It demonstrates how ghost assets, related-party transactions, fake confirmation letters and a pitched share price can be potentially exacerbated when lenders and ratings agencies rely on documents put forth by the borrower. Recovery has been slow; the two companies are in insolvency, thousands of drivers and customers have been cheated of their dues and legal cases are still in the initial stages and no convictions have been reported. For a data analytics practitioner, this case is a compelling case for throwing green-lending loans

The Gensol-BluSmart Fraud (2025)

against registers of vehicle ownership, its end users and verified sources, rather than waiting till they come unstuck.

References

- Securities and Exchange Board of India. (2025). Interim order in the matter of Gensol Engineering Limited, 15 April 2025; confirmatory order, 30 July 2025.
- National Company Law Tribunal, Ahmedabad Bench. (2025). Orders admitting Gensol Engineering Ltd. (13 June 2025, IREDA petition), BluSmart Mobility Ltd. (July 2025) and Blu-Smart Mobility Tech Pvt Ltd. (October 2025) to the corporate insolvency resolution process; order on freezing of assets of Gensol and related entities (May 2025).
- Insolvency and Bankruptcy Board of India. (2025). Lists of creditors, Gensol Engineering Ltd. and Gensol EV Lease Ltd., CIRP commencing 13 June 2025.
- Enforcement Directorate, Government of India. (2025). Searches and statements in the Gensol Engineering case under FEMA, April 2025; Ministry of Corporate Affairs. (2025). Inspection under Section 210 of the Companies Act, 2013.
- Power Finance Corporation Ltd. (2025). Complaint to the Economic Offences Wing, Delhi Police, regarding falsified documents submitted by Gensol Engineering Ltd.
- Reporting from Business Standard, The Tribune, TechCrunch, Entrackr, Moneylife, Outlook Business, The Hans India, Free Press Journal and BusinessToday (2025–2026), including coverage of the SEBI, ED and NCLT proceedings and the sale of BluSmart's charging business.